BYBLOS BANK SYRIA SA

IFRS 9 Report

(QIS as of 30/09/2017)

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Introduction

Following CBoS instructions, BBS conducted a Quantitative Impact Study (QIS) to assess the possible impact of IFRS 9 implementation on the bank's booked provisions, financial position and CAR. Three slightly different scenarios (strict, mild and lenient) were conducted using BBS figures as of 30/09/2017.

Definitions of terms and acronyms used throughout the document:

- DPD: Days Past Due
- PD: Probability of Default
- LGD: Loss Given Default
- EAD: Exposure at Default
- ECL: Expected Credit Loss
- Stage: IFRS 9 requires that each exposure be classified in one of three stages. When an exposure is originated, it shall be included in **Stage 1** and a 12-month ECL is recognized; if credit risk increases significantly and is no longer considered to be low, the exposure is moved to **Stage 2** and a full lifetime ECL is recognized; and if credit risk increases to the point the exposure is considered credit-impaired, it is moved to **Stage 3** and lifetime ECL is still recognized.

General rules for calculating ECL amount:

- EAD = outstanding on-BS + outstanding off-BS after using CCF (credit conversion factors) in line with Basel 2 SA EAD.
- ECL for stages 1&2 exposures = PD x LGD x EAD.
- ECL for stage 3 exposures = [EAD - cash margin - 50% of real estate mortgages] x ECL% associated with exposure's DPD.

Sovereign Portfolio

Portfolio specific rules applied in calculating ECL:

- BBS exposure to sovereigns is limited to placements at the CBoS. Accordingly, the entire exposure was included under Stage 1.
- LGD used is 37%
- PDs applied under each scenario were as follows:

Exposure	Scenario 1 (strict)	Scenario 2 (mild)	Scenario 3 (lenient)
LCY	0%	0%	0%
FCY	12.18%	12.18%	0%

PD rates applied were based on external credit rating and corresponding PDs issued by Moody's. For LCY, the PD associated with a AAA rating was used, and for FCY the PD associated with a C rating was used under scenarios 1 and 2 (external credit rating for Syria by the IHS is equivalent to C), and that associated with a AAA rating under scenario 3.

Financial Institutions Portfolio

Portfolio specific rules applied in calculating ECL:

- All of BBS exposures to financial institutions were included under Stage 1 since none of these exposures has shown any significant increase in credit risk.
- LGD used is 45%.
- PDs applied for local banks under each scenario were as follows:

Exposure to local banks	Scenario 1 (strict)	Scenario 2 (mild)	Scenario 3 (lenient)
LCY	15.63%	0%	0%
FCY	15.63%	15.63%	15.63%

- PDs applied for foreign banks are based on external credit rating and corresponding PDs issued by S&P which are as follows (the rating of the country was used for unrated banks):

	AAA	AA	A	BBB	BB	B	CCC/C
1 year PD	0.00%	0.02%	0.07%	0.31%	0.82%	3.10%	15.63%

Loans Portfolio

Portfolio specific rules applied in calculating ECL:

- Loans were allocated to the different stages according to the following criteria:

Stage 1	Stage 2	Stage 3
- Loans classified 1 & 2 **and** for which the DPD is less than 30 days	- Loans classified 3 **and** for which the DPD is less than 90 days - Loans classified 1 & 2 **and** for which the DPD is between 30 and 89 days (inclusive)	- Loans classified 4 and above **or** for which the DPD is more than 89 days

- LGDs applied under each scenario were as follows:

	Scenario 1 (strict)	Scenario 2 (mild)	Scenario 3 (lenient)
Clean basis and personal guarantee	60%	45%	45%
Cash margin	0%	0%	0%
Real estate mortgages	45%	35%	30%

- PD applied for stage 1 loans was 5% and for stage 2 loans 10%.
- ECL percentages applied for stage 3 loans were 20% if DPD between 90 and 179 (inclusive), 50% if DPD between 180 and 359, and 100% if DPD is above or equal to 360.

Results Summary

Resulting ECL and provisions gaps, by portfolio under each scenario were as follows:

	Scenario 1				Scenario 2				Scenario 3			
Portfolio	Specific Prov. (Syp k)	ECL (Syp k)	Provision gap (Syp k)	Provision gap (c.v. $ K)	Specific Prov. (Syp k)	ECL (Syp k)	Provision gap (Syp k)	Provision gap (c.v. $ K)	Specific Prov. (Syp k)	ECL (Syp k)	Provision gap (Syp k)	Provision gap (c.v. $ K)
Sovereign	**0**	**131,135**	**131,135**	**301**	**0**	**131,135**	**131,135**	**301**	**0**	**0**	**0**	**0**
Stage 1	*0*	*131,135*	*131,135*	*301*	*0*	*131,135*	*131,135*	*301*	*0*	*0*	*0*	*0*
Financial Institutions	**0**	**1,100,177**	**1,100,177**	**2,523**	**0**	**708,347**	**708,347**	**1,625**	**0**	**708,347**	**708,347**	**1,625**
Local Banks												
Stage 1	*0*	*661,409*	*661,409*	*1,517*	*0*	*269,579*	*269,579*	*618*	*0*	*269,579*	*269,579*	*618*
Foreign Banks												
Stage 1	*0*	*438,767*	*438,767*	*1,006*	*0*	*438,767*	*438,767*	*1,006*	*0*	*438,767*	*438,767*	*1,006*
Loans	**7,823,156**	**8,180,556**	**392,438**	**900**	**7,823,156**	**8,020,414**	**326,383**	**749**	**7,823,156**	**8,005,995**	**319,346**	**732**
Stage 1	*418,770*	*383,733*	*0*	*0*	*418,770*	*289,645*	*0*	*0*	*418,770*	*282,263*	*0*	*0*
Stage 2	*190,127*	*271,256*	*81,129*	*186*	*190,127*	*205,201*	*15,074*	*35*	*190,127*	*198,164*	*8,037*	*18*
Stage 3	*7,214,259*	*7,525,568*	*311,309*	*714*	*7,214,259*	*7,525,568*	*311,309*	*714*	*7,214,259*	*7,525,568*	*311,309*	*714*
Total	**7,823,156**	**9,411,868**	**1,623,749**	**3,724**	**7,823,156**	**8,859,895**	**1,165,865**	**2,674**	**7,823,156**	**8,714,342**	**1,027,693**	**2,357**

Available general provisions as of 30/09/2017 reached Syp3.53bn ($8.09m) which cover all provision gaps recorded under all three scenarios. Accordingly, no effects are expected on the banks booked provisions, financial position or CAR.

BBS Management and ALCO has indorsed in its meeting scenario 3, which, if approved by the risk committee and the board, shall be presented to the CBoS as requested by the latter.

Thank you